

India: Tackling fallout of the energy crisis

Economics/Growth

DBS Group Research

April 1, 2026

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- After an over 40% surge in Brent oil price in Mar26, high prices have extended into the second quarter.
- We draw parallels with policy changes in wake of 2022 Russia-Ukraine crisis.
- Present mitigation efforts span securing supplies to financial market support.
- We temper our core forecasts, with the risk of further revisions if tensions persist.
- Implications for markets: A rate increase by the RBI is not imminent, but not a trivial risk.
- Rupee could remain under pressure from a third consecutive year of balance of payment deficit.

Volatility persists

Markets remain volatile amidst conflicting signals, with the US pointing to a potential deescalation in tensions, while the blockage at the Strait of Hormuz continues.

Conflict in the Middle East is at the verge of extending into 2QCY26, at the time of writing. Brent prices averaged around \$100/bl in Mar26, ~45% higher than \$70.9/bl in Jan-Feb26 besides a sharp jump in gas benchmarks, due to supply disruptions through the Strait of Hormuz (and likely Red Sea next) and damage to physical infrastructure in the region. We had discussed the impact for India in [India: Assessing the impact from the Middle East conflict](#). There is still considerable lack of clarity on the direction ahead, amidst mixed messages on the duration and intensity of the conflict.

Average - Brent and Indian basket - crude oil price (\$/bl)



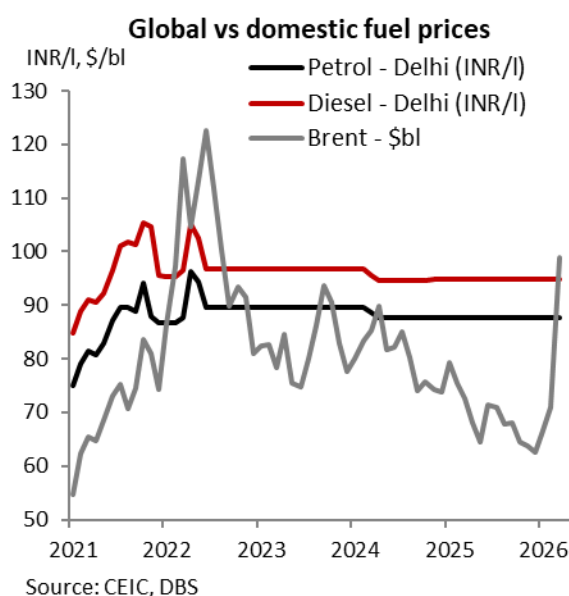
Source: CEIC, DBS

Looking back: Response to 2022 Russia-Ukraine conflict rally in oil prices

We take stock of the government's response to the previous energy price shock in 2022 to draw parallels to current geopolitical developments.

Following the start of the Russia-Ukraine conflict in February 2022, global oil benchmarks rallied sharply, building pressure on domestic fuel prices. Faced by a mounting energy bill, authorities set the ball rolling to gradually increase retail pump prices from March 2022 onwards. Petrol & diesel retail prices were up by a cumulative 9.6% and 11.3% by end-April 2022.

Consequent strain on consumers was partly reduced by a decrease in the excise duties in May 2022, helping to take pump prices back to pre-conflict levels. Subsequently, banking on firm commodity prices, the government imposed a windfall tax on upstream oil producers, besides levying export duties on downstream supplies, largely negating revenue losses.



We note three differences between the energy crisis in 2022 and now.

Firstly, unlike previous oil and energy shocks that mainly affected prices, this time the issue involves both rising costs and reduced supply, which together intensify the overall impact. **Secondly**, Asia, particularly India is more exposed to the Middle East crisis than the conflict near Europe in 2022. **Thirdly**, the starting point for domestic inflation is lower this time around as compared to 2022. Inflation had averaged 6.2% yoy in FY21, while average FY26 inflation will be closer to 2.0-2.2% yoy (utilities benign at 1.9% yoy and flat growth in transport inflation). These differences are likely to prevent a sharp acceleration in inflation akin to 2022, when growth undercurrents were also strong coming out of the pandemic.

We also note that the central bank had utilised the monetary policy levers to defend the currency during the 2013 taper tantrums, but the macro vulnerability parameters were much weaker at that juncture – inflation was closer to 10% and current account gap closer to 5% of GDP, compared to the current prevailing sub-3% inflation and -1% of GDP CAD, thereby necessitating a less aggressive and more holistic justification for rate hikes this time around.

Risk mitigation efforts

Given rising risks and heavy reliance on imported fuel, the government and central bank have begun taking steps to limit spillover effects on key economic stakeholders.

- **Secure supplies and energy conservation efforts**

Authorities have focused on securing oil and gas supplies from alternate sources, including US, Russia, Norway etc., which has helped to improve the strategic reserves position to nearly 60 days (for oil). LPG cargoes have been secured from US, Russia, Australia etc.

Earlier, eight LPG carriers, four crude oil ships, and one liquefied natural gas (LNG) tanker were among 24 Indian-flagged vessels stranded in the Persian Gulf, according to the press. Four India-bound vessels, mainly carrying LPG supplies, have passed through the Strait of Hormuz. Domestic refiners have also been asked to maximise LPG production, with supply up 40% to 50k metric tons.

By invoking the Essential Commodities act¹, the government directed refineries and petrochemical units to maximise LPG production and divert key hydrocarbon streams to the LPG pool. Supply of natural gas was to be prioritised to certain priority sectors like hospitals, defence, coal, power, steel etc. Two informal Group of Ministers committees under the government will deal with the overall strategic issues², which included pushing states to consider widening the piped gas network.

Further support for MSMEs is also on the cards amidst reports of firms scaling back operations due to high energy costs and insufficient supplies. The government unveiled the Resilience & Logistics Intervention for Export Facilitation (RELIEF) package worth INR 4.97bn

to tackle challenges related to the escalation in tensions, increase in insurance premiums, and war-related export risks. Full benefits under the RoDTEP (Remission of Duties and Taxes on Exported Products) scheme have also been restored, under which embedded taxes (central, state, local taxes) can be refunded, for categories that are not covered by GST.

The RBI unveiled trade relief measures for exporters effectively extending trade relief measures announced in Nov25, including the provision of a longer credit period of up to 450 days for pre-shipment and post-shipment export credit disbursed until June 2026. Exporters can continue to realise and repatriate the full value of within 15 months from the date of export, instead of the standard nine months³

- **Partial burden-sharing and administrative measures**

Price increases have been partially passed on, for instance, commercial LPG (19-kg cylinders) was raised on 1 Apr, after the domestic 12kg cylinder was raised in early-March, besides a wider gap between bookings and an increase in selective private sector commercial fuel prices. The weight of LPG Cylinder & Piped Natural Gas under the rebased series stands at 2.0 percentage point (pp) (exert 10-20bp upside to inflation). Separately, oil companies hiked premium petrol price after four years. The OMCs in consultation with the Ministry of Civil aviation implemented a partial and staggered increase in the aviation turbine fuel (ATF) by 25% (INR15/l). Global routes will bear the full

¹ [Press](#)

² [Press](#)

³ [Press](#)

increase in ATF prices. States have reportedly been asked to lower VAT rates to provide further relief.

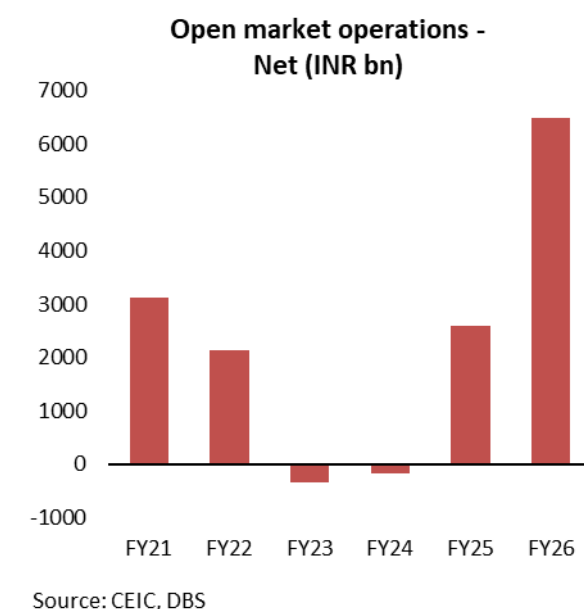
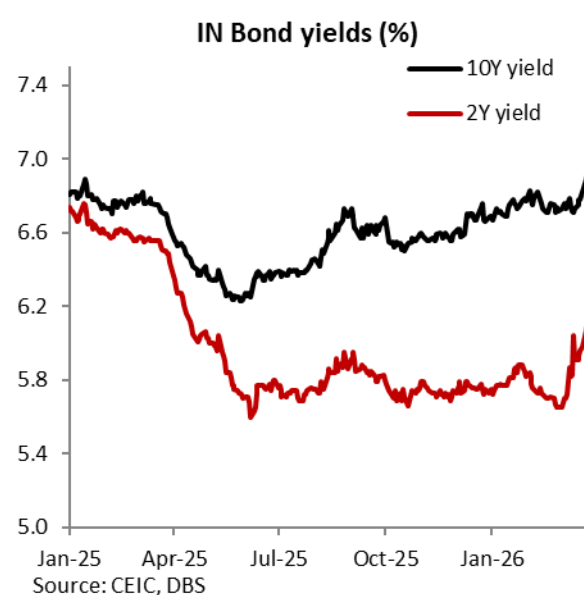
Retail pump prices remain unchanged. The government reduced the central excise duty on petrol and diesel by INR 10/litre to support state-owned oil marketing companies (OMCs), which were absorbing losses from elevated global energy prices. This move lowered the need for an imminent increase in the retail pump prices to defend consumers but will entail a fiscal cost of ~INR1.7trn (0.4-0.5% of GDP) in foregone revenues if it lasts the full year. Export taxes on diesel and ATF was introduced, but no windfall tax has been levied on producers yet.

Despite this move, elevated global prices and a weakening rupee suggest that the strain on fiscal books will persist, signaling that **a further reduction in duties or a fuel price increase is likely to be the next step** (later likely by late-April). Back in 2022, in the wake of the Russia–Ukraine conflict, a combination of duty cuts and pump price adjustments was undertaken to share the burden, with some degree of demand destruction also occurring as a result.

• Financial markets

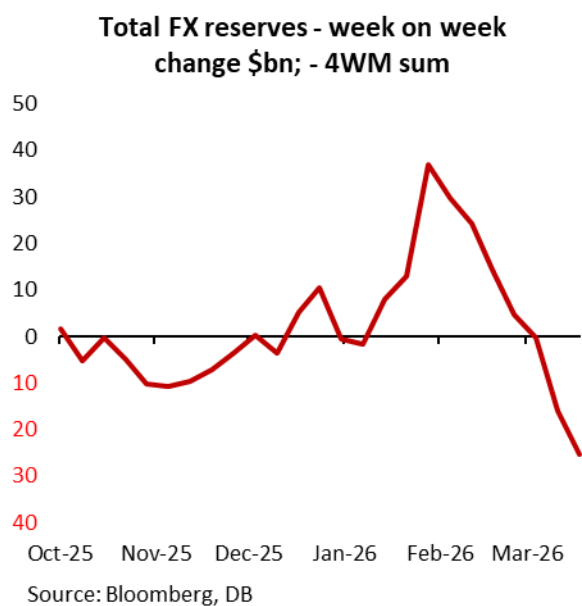
India asset markets have been under pressure due to the difficult geopolitical conditions. Combination of open market operations (see chart) - secondary and on-screen, liquidity tools, VRR/VRRR auctions, FX swaps etc have been tapped to stabilise bond markets and support liquidity conditions as aggressive FX intervention to defend the currency resulted in distortions in other pockets, necessitating sterilisation efforts.

Despite counter measures, benchmark 10Y yield rose to 7% for the first time since mid-2024, due to the impending fiscal burden, steady supply of states' issuances and elevated global yields. The attractiveness of Indian bonds for foreign portfolio investors has also been impacted by a reduction in returns on a currency-hedged basis. Concurrently, a repricing in rate expectations have driven short-term borrowing costs sharply higher – see chart.



New FX mechanism

The central bank put up a stiff resistance to defend the currency in March to slow the pace of slippage. Strong intervention efforts coupled with weak valuation effects from gold prices led to a sharp correction in the total foreign reserves position. Import coverage ratio – foreign reserves adjusted for the outstanding forwards book – is nonetheless still comfortable at over 9months, much higher 7months during the 2013 taper tantrums.



To complement its FX intervention efforts aimed at curbing the rupee's depreciation, the **RBI revised its foreign exchange playbook** by imposing a mandatory daily limit of \$100 million on Authorised Dealers' Net Open Position (NOP-INR) in the local deliverable market ([press release](#)). Effective April 10, this measure is aimed at curbing excessive positioning in the currency market. Looking ahead, domestic lenders are likely to step back from arbitrage trades—where they had sold dollars offshore and bought USD onshore—which will now need to be unwound following the rule change. The

scale of this unwind is expected to flush out speculative positioning and exert downward pressure on forward rates. **At the same time, the new limits may weigh on overall liquidity and participation interest by lenders.**

In a knee-jerk reaction, the INR rallied sharply on expectations that arbitrage flows would weaken under the new directive and that offshore–onshore curves would diverge. However, **gains proved to be short-lived, with rupee weakening to a new low, below 95/USD**, as high energy prices continued to pose a risk to external balances and financial market stability. **Over the medium term, the focus is likely to return to structural drivers to attract as well as retain more stable, long-term portfolio and FDI inflows to provide sustained support to the currency as well as the balance of payments.**

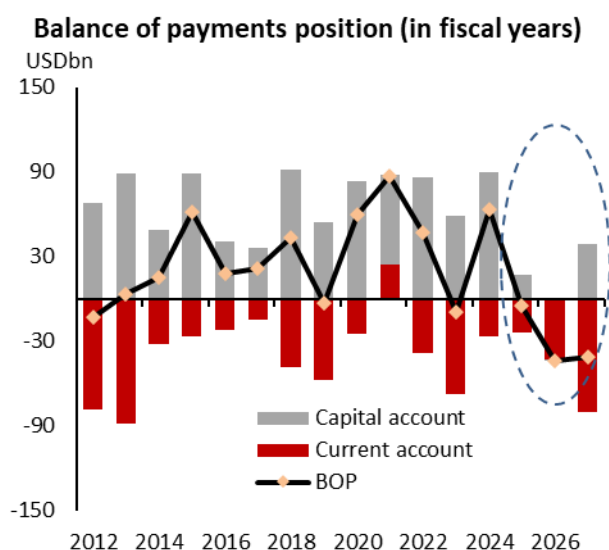
Implications for forecasts

With geopolitical tensions spilling over into the new fiscal year in India, we revisit our baseline economic forecasts for FY27. The base case assumption is for oil to stay at \$90-\$110/bl, followed by a gradual normalisation towards \$80/bl in rest of the year. A more adverse risk scenario is for oil to stay elevated at \$80-100/bl for rest of CY2026. Brent was up 45% in March vs February 2026. **We note that commodity prices can stay elevated for longer, akin to 2022, even if stress in the financial markets ebb.**

Business price expectations and adjustments in commercial fuel supplies have driven up operational costs. This will be amplified by likely retail pump prices this quarter, while fertiliser prices to be revised up later in the year (reports

suggest there are sufficient stocks for kharif but required for rabi season). We revise up FY27 inflation forecast to 4.6% yoy from previous 4.0%, with upside risk of ~50-60bps if crude stays north of \$110/bl this quarter and next. Real GDP growth forecast has been trimmed to 6.5% yoy from our previous forecast of 7.0% for FY27 as higher inflation will lift the nominal pace but impinge on the real growth rate. We foresee additional if the conflict prolongs or energy prices stay high.

A wider energy import bill and subdued demand for goods exports can widen the current account deficit to -1.8% of GDP vs our baseline -1.3% of GDP. Higher current account deficit combined with subdued capital flows outlook, pave the way for a third consecutive balance of payments deficit (in FY27 after FY25-FY26 deficits) – a first for the economy – see chart. **Rupee will be vulnerable to further near-term weakness against this backdrop.**



Source: CEIC, RBI, DBS

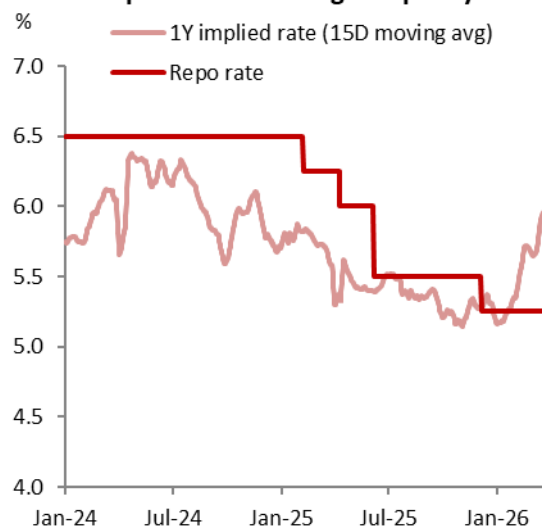
In FY27, despite the denominator effect from the nominal GDP growth rate (higher inflation),

prevailing fiscal costs and likelihood of higher allocations towards fertiliser subsidies pose small upside risks to the full year deficit projection.

Monetary policy – rate hikes are not imminent

The macro landscape has changed considerably since the February 2026 rate review. While tariff risks were reduced by the US Supreme Court ruling, external risks have increased significantly, particularly due to rising global oil prices and geopolitical tensions, which can push inflation above the mid-point of the target range. Financial markets have also shown stress, with rising bond yields and currency depreciation, despite earlier liquidity support from the RBI. Reflecting these risks, implied rates have risen sharply as investors factor in the risk of a tighter policy stance.

India: Expectations of a tighter policy stance



Source: Bloomberg, DBS

Domestic inflation is coming off a low starting point base, with FY26 average at 2.0-2.2%, suggesting there is more cushion to absorb the risk of fuel price hikes in FY27, without posing material risk to the upper bound of the target

range (at 6%). With this shock being primarily supply-driven and (likely) transient, monetary policy might be a blunt and potentially ineffective tool in the short term to arrest inflationary expectations. In the context of this stagflationary shock and exogenous nature of the event risk, we expect the RBI to keep rates on hold in April, while addressing specific pockets of strain. We expect a change in the policy stance towards tightness if there are material spillover risks on core inflation and potential second round effects.

The RBI is likely to prioritise financial stability and liquidity conditions, particularly in an environment of global monetary uncertainty, where premature moves could trigger volatility in capital flows and exchange rates. **The policy outlook will, nonetheless, shift from a “benign inflation–strong growth” scenario to a more “cautious balancing act”, where the central bank may need to respond to renewed inflationary pressures while sustaining growth.**

strong FX intervention but stands to benefit from higher government spending. The RBI’s notification to banks to reduce onshore rupee positions is expected to catalyse short-term stability in the currency. G-Sec borrowing calendar for 1HFY27 was pegged at INR 8.2trn, with share of issuance in less than 10Y bucket increasing in line with the market expectations. While the calendar was a positive development for bond markets, yields stayed firm due to geopolitical risks, heavy SDL borrowings and potential fiscal pressure.

Meanwhile, the inflation-targeting framework has been extended, with the government retaining the 4% CPI target ($\pm 2\%$) for another five years, reinforcing policy continuity ([Inflation targeting – still FIT for purpose?](#))

Banking system liquidity returned to a modest deficit in midst of advance tax outflows and

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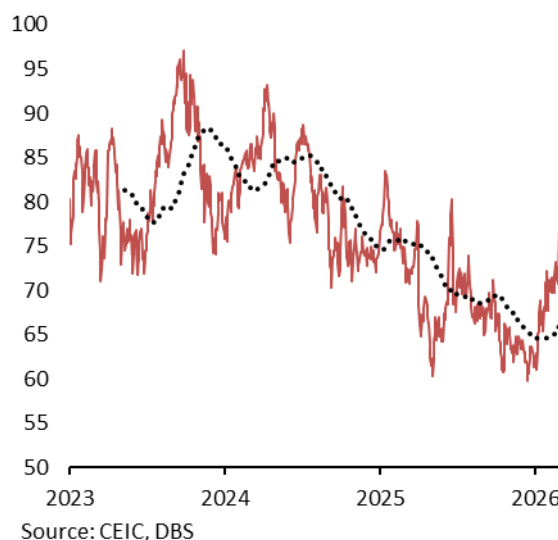


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- Oil prices have soared in recent weeks
- We see three channels of impact for India – risk sentiment, energy pricing, and economic activity.
- VIX is off highs but still elevated by historical comparisons.
- Along with crude oil, energy dependency extends to natural gas and LPG supplies from the region.
- We present scenarios on the economic impact, with the severity of the fallout to be dictated by duration of the conflict.
- Implications for markets: We expect weak risk uptake to weigh on the rupee.
- RBI will prefer to stay on a prolonged pause.

Global oil benchmarks whipsawed sharply this week, book-ended by an initial rally in Brent crude to ~\$120bbl before correcting sharply below \$90bbl (see chart). Pullback was driven by indications from the US administration that the conflict in Iran might end soon, and that efforts are underway to step up oil supplies through waiver of selected sanctions, plans to dip into emergency stockpiles, and navy support for vessels through the Strait of Hormuz, amongst others. At the time of writing there was lack of clarity on the direction ahead, amidst mixed messages on the duration and intensity of the conflict.

Crude Oil: Spot Price: Brent

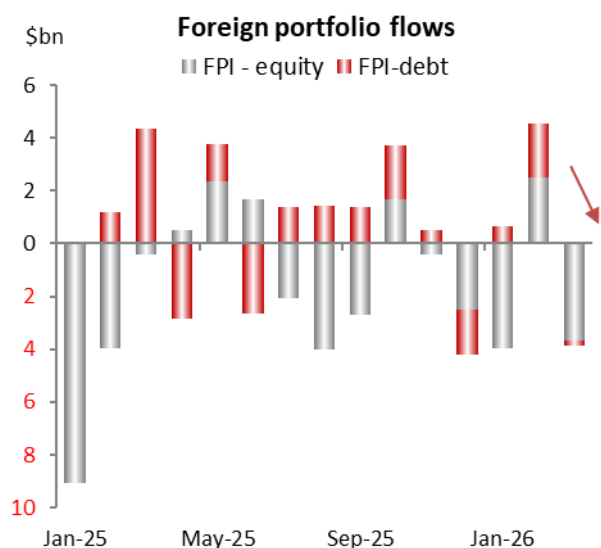


Degrees of impact from the ongoing conflict

We covered the impact on the economy from the current geopolitical risks [here](#), [here](#) and [here](#). There are three channels of impact for India – risk sentiment, energy pricing, and economic activity, from a prolonged war in the Middle East, with the intensity of fallout to be guided by the duration of the conflict and extent of resultant supply shocks.

Risk sentiments

India's VIX gauge remains at elevated levels, even if off highs (see chart), underscoring weak underlying risk sentiments. Domestic financial markets, including equity price action, bonds and rupee have felt the heat from the ongoing hostilities in the Middle East region. The currency had depreciated to a fresh low against the dollar, besides a tentative stabilisation in the benchmark equity indices after a sharp sell-off. After a reprieve in February, foreign flows have reversed out in March in midst of fresh geopolitical tensions (see chart).



To cap yields, the RBI conducted debt purchases via open market operations (OMO) worth INR 500bn on 9-Mar helping to stabilise the bond markets and has scheduled another INR500bn for 12-Mar, ahead of heavy seasonal advance tax as well as GST related outflows due in the coming weeks. This infusion will also ease the drain from strong FX intervention and maturing FX forwards. Authorities have also been active participants in the secondary markets in February, pre-dating the conflict, to rein in yields. The cumulative and sizeable scale of purchases have amounted to nearly three-fourth of net borrowings for the year. In midst of broader risk dislocations, markets had begun to price in tighter interest rate conditions in the year ahead, though are likely to correct in the near-term.

We expect the central bank to stay on a prolonged pause on policy rates, while undertaking specific steps to ease market tensions. Outside of the geopolitical tensions, we continue to expect the rupee to underperform the regional pack, even as the broader dollar might stabilise.

Energy pricing

For a start, **India's direct trade with Iran** (led by food, pharma, animal feed exports and petroleum product imports) has diminished in the past five years owing to the long-standing US sanctions (see chart).

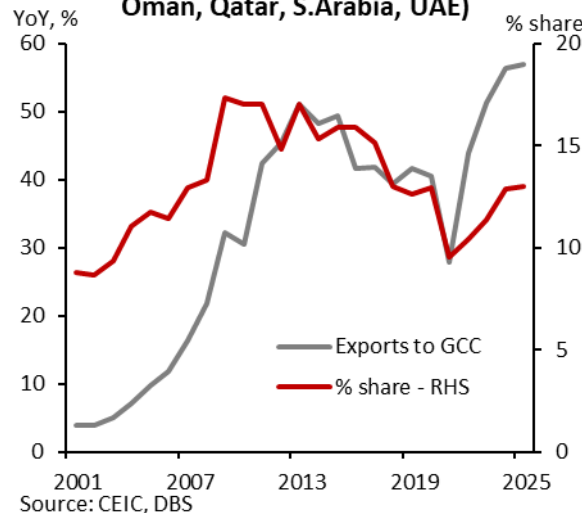


Source: Commerce Ministry, DBS

Amongst key investment commitments, India was a major partner in the development and operation of the Chabahar Port on Iran's southeastern coast, particularly to operate the Shahid Beheshti Terminal. While this investment is more strategic by nature rather than commercial, the exposure has faced the strain of sanctions by the West.

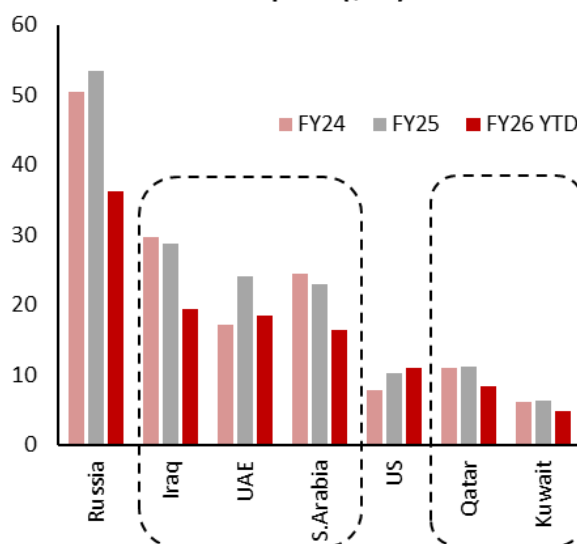
Trade linkages to the broader Middle East region remains more significant and important. Total trade with the GCC countries remains material (~15% of total trade) led by energy, machinery, gems & jewellery etc. A tenth of overseas Indians live in the UAE; ~38% of remittances. Add to this, Indians make up a big chunk of merchant shipping crew.

India's exports to GCC (Bahrain, Kuwait, Oman, Qatar, S.Arabia, UAE)



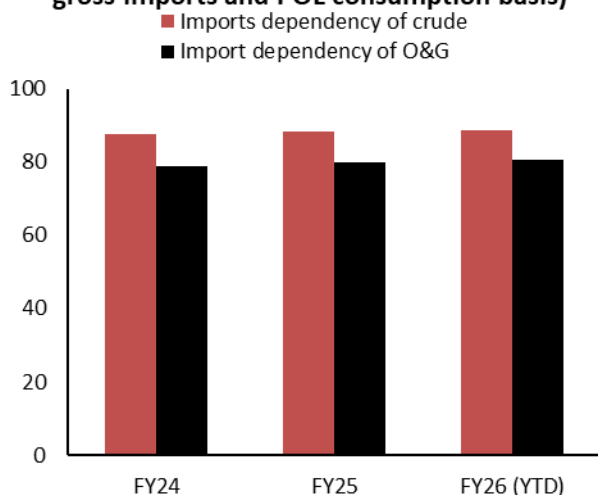
Escalation in the Middle East tensions will pose supply risks to the broader hydrocarbon trade for the country, including exposure to crude oil, LNG and LPG markets. India is the third largest oil consumer globally, with a heavy reliance on crude imports. The country imports more than 85% of crude oil supplies, of which more than 55-57% is from the Middle East countries (see chart). Around half of crude supplies, which amounts to 2.5-2.7mn/ day, travels through the Strait of Hormuz, largely from Iraq, Saudi Arabia, the UAE and Kuwait.

India's petroleum crude and products imports (\$bn)



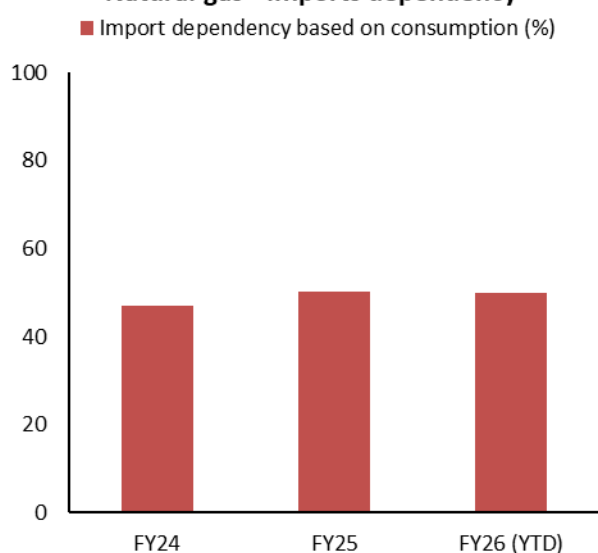
Source: Commerce Ministry, DBS

Oil & gas - dependency on imports (% of gross imports and POL consumption basis)



Source: PPAC, DBS

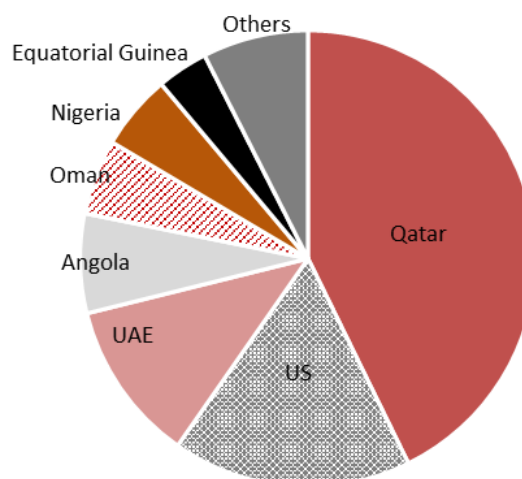
Natural gas - imports dependency



Source: PPAC, DBS

Additionally, more than 50% of the LNG is imported (see chart), two-third of which comes from the Middle east, key amongst which are supplies from Qatar. Notably, India is the world's fourth-largest buyer of LNG, with the current share of gas in the overall energy mix at a modest 6.2% (plan to increase to 15% within this decade).

Liquefied natural gas imports % share value, 2024



Source: CEIC, WITS, DBS

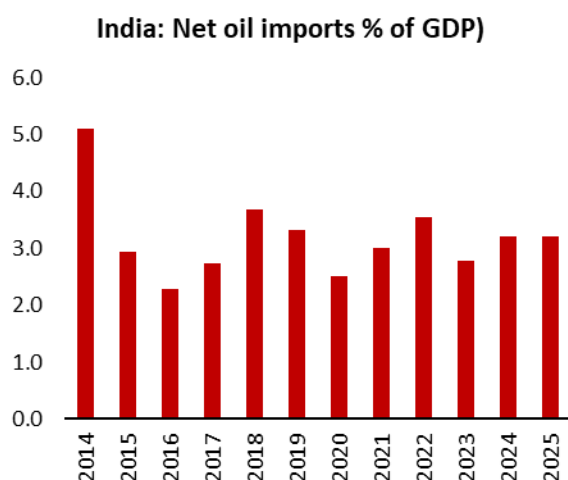
Lastly, two-third of LPG requirements are imported, which are in turn predominantly utilised by retail consumers (primarily cooking). With bulk of these resources passing by the Strait of Hormuz, indications that the vessel movements have grind to a near halt will intensify worries over the extent of stockpiles and backup inventories (LNG is most difficult to store).

On the heels of the price volatility and looming supply shortages, measures are underway domestically to balance the available stock, including prioritising household gas use while industrial consumers face potential delays/disruptions. Several gas-related industries have also recently announced force majeure, especially those heavily reliant on imported gas volumes, including for instance petrochemical companies and refineries. Shortage in LPG supplies will largely impact retail consumers, with signs that the government has 20-25 days of inventory. **India's emergency strategic petroleum reserves**, managed by the state-run ISPRL, currently stands at ~30mn tonnes, according to officials cited by [reports](#), with the

storage is around 75-80% filled. Meanwhile, the government has reportedly no plans to join the International Energy Agency (IEA) initiative to release strategic oil reserves. To backstop supplies, the US had reportedly provided a 30-day waiver to India refiners to receive cargoes from Russia, of which oil is in afloat vessels. Indian authorities have, meanwhile, begun to seek alternate suppliers, for instance from Asia and Africa.

Economic/ macro channel – scenario analysis

The persistence and sustainability of high oil prices will play a key role in shaping the scale of the economic impact on countries. Earlier, oil markets had downplayed these risks, but they have now intensified as reports surface about infrastructure damage and delays in production in the Middle East.



Source: CEIC, DBS. Net oil import is excess of imports over exports of oil. Positive values are net importer while negative ones are net exporter of oil. EU 27 exc. UK data is for 2024.

Baseline forecasts for FY27: Outside of the geopolitical developments, positive high frequency indicators, revised GDP numbers and the court ruling on tariffs which had lowered the effective tariff on India prompted us to revise up FY27 real GDP growth to 7% (from 6.5% earlier). CPI inflation stands at 4% and current account deficit is expected to widen from an estimated -1.0% of GDP to -1.3% of GDP in FY27, factoring in moderation in service trade receipts. Encouragingly, the economy's oil intensity has reduced from the past, as signaled by the moderation in the net oil imports. As it stands, net oil imports stood at \$123bn (~3.1% of GDP) in FY25.

Sensitivities: As a start, crude oil prices at \$80-\$85bbl will be manageable, while the economic impact will be most acute if prices average north of \$100bbl for the coming months. Baseline assumption in the RBI's monetary policy report in Oct25 stood at \$70bbl in second half of FY26, as global crude oil prices had exhibited a declining trend easing from \$77bbl in early-Apr25 to \$68bbl in Sep25. Official estimates are that a 10% increase in crude oil prices vs the baseline, and assuming full pass-through to domestic product prices, CPI inflation could turn out to be higher by ~30 bps and growth may be lower by around 15 bps. For the CAD, a \$10bl increase could push by the shortfall by 0.35% of GDP.

Scenario analysis

Oil price	US\$80/bbl	US\$90/bbl	US\$100/bbl
GDP (change, ppt)	-0.15	-0.25	-0.40
CPI (change, % ppt)	+0.25	+0.35	+0.5
Current account/GDP (change, % ppt)	-0.35	-0.50	-0.60

Source: RBI, press, DBS; estimates vs FY27 baseline assumptions

The extent of impact on inflation will be dictated by who picks the incremental cost burden. India had undertaken measures to reform its fuel sector by deregulating petrol and diesel prices, allowing them to align with market rates to reduce fiscal deficits and losses of the upstream oil marketing companies. This helped to lower the fiscal burden on the government's books, with total subsidies accounting to 1.2-1.3% of GDP, of which petroleum is almost negligible at less than 3% of the total. However, in the event of a sharp rise in global fuel prices, authorities are likely to be cautious about fully passing on higher costs to consumers. The need to protect household purchasing power and support businesses as well as a packed state election calendar in 1H26 may prompt a more measured approach to retail fuel price adjustments, with the initial rise likely to be absorbed by the oil marketing companies (could lower dividend contribution). As an alternate to raising retail prices, excise duty cuts might be considered (for instance INR3/l reduction will amount to ~0.1% of GDP).

BOP dynamics: As highlighted above, the current account balance is likely to face a wider energy bill, pushing up the goods import bill. Concurrently, with the region making up ~40% of total remittances, inflows under this segment faces a second order impact if the conflict prolongs. As it stands, prior to the geopolitical tensions, financing flows for the current account gap were a bigger concern than the scale of the trade balance shortfall, with this likely to remain as a key flashpoint. A concurrent reduction in portfolio flows, narrowing net FDI and offshore borrowings crimped by a rise in costs/ hedging costs could keep the overall BOP in red in FY27.

Conclusion

Geopolitical developments are fluid at this juncture, with the economic impact on India to be dictated by how long the conflict lasts and which countries in the Middle East are engulfed in these hostilities. A lift in Strait of Hormuz blockages might help to restore supplies but with a significant lag time.

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